

SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Mr. Justice Shahid Waheed
Mr. Justice Naeem Akhter Afghan
Mr. Justice Muhammad Shafi Siddiqui

Civil Appeal No. 630-L of 2013

*[On appeal from the judgment dated
04.06.2010 of the Lahore High Court,
Lahore passed in RFA No.609 of 2002]*

Mr. Shahid Hameed and others. ... *Appellants*

Versus

United Bank Limited, Lahore and others. ... *Respondents*

For the Appellants: Mr. Mahmood A. Sheikh, ASC.

For the Respondents: Nemo.

Date of Hearing: 12.05.2026.

ORDER

Muhammad Shafi Siddiqui, J. The recovery proceedings under the Financial Institutions (Recovery of Finances) Ordinance, 2001 (**‘the Ordinance’**) commenced with the filing of the suit before the Banking Court at Lahore against the appellants as well as respondent No.2 and 3. Respondent No.3 (Mr. Zahid Hameed) died on 05.03.2013 during the pendency of the appeal before this Court, and his legal heirs were brought on record and arrayed as respondents No.3 (i to v), in accordance with law.

2. Rachna Oils (Private) Limited, being a legal entity, was maintaining an account with respondent No.1, and availed finance facilities, which were incorporated in the memo of the plaint. The appellants were the directors of the company, along with Mr. Zahid Hameed at the relevant time, when the finances were availed in terms of facilities disclosed in para 6 of the plaint,

against mortgages disclosed in para 7 of the plaint. The directors also claimed to have executed additional documents in the shape of demand promissory notes and personal guarantees of the directors arrayed in the title of the plaint, as well as letters of hypothecation, stock reports and trust receipts, forming part of the financing arrangement between the parties in terms of para 8 of the plaint.

3. On service of summons, a joint application on behalf of the directors was filed. While considering the said joint application supported by affidavits on behalf of the directors as well as on behalf of respondent No.2/company, the leave application was dismissed, and in consequence thereof the said suit was decreed, and a decree sheet was drawn accordingly in suit No.74 of 1998, as prayed for in the plaint, there being no substantial question of law and facts raised by the applicants.

4. Aggrieved thereof, Mr. Shahid Hameed and others filed a regular first appeal under section 22 of the Ordinance, which was eventually dismissed by the High Court through the impugned judgment dated 04.06.2010, which judgment was challenged before this Court through the instant appeal, by leave of the Court dated 20.03.2013, by the same set of appellants herein, giving rise to the present proceedings.

5. We have heard the learned counsel for the appellants and perused the material available on record, with his assistance.

6. Learned counsel for the appellants has raised a solitary ground that appellant No.1 (Shahid Hameed) did not sign the personal guarantees, as he was not available in Pakistan at the time when the said guarantees were allegedly executed and handed over to the Bank/respondent No.1. We enquired from the learned counsel as to whether appellant No.1 is in

possession of the original title documents of the property which is stated to have been mortgaged; he replied in the negative and fairly conceded that the original title documents of the subject property are, and have since long remained, in the custody and possession of the Bank/respondent No.1, which prima facie constitutes an equitable mortgage by deposit of title deeds. It is further urged that the personal guarantee(s) attributed to appellant No.1 might have been signed by his brother Zahid Hameed (predecessor-in-interest of respondents No.3(i) to (v)), however no satisfactory explanation has been furnished as to how the title documents of the property belonging to appellant No.1 came into the possession of the Bank in the ordinary course of business. If this position is accepted, then a serious incongruity arises, since a joint application for leave to defend was admittedly filed on behalf of all the directors of the company, available at page 72 of the paper-book, wherein no allegation whatsoever of impersonation, forgery or misuse of signatures was raised at the relevant time. Indeed, once a joint application is filed seeking leave to defend, any subsequent attempt to attribute execution of documents to a co-defendant amounts to a clear conflict of interest, which cannot be countenanced in law nor pressed into service through a common pleading. The borrower company, along with its directors, was under a statutory obligation in terms of section 10(4) of the Ordinance to specifically disclose all material facts and set out a plausible defence; however, the leave application is conspicuously silent with regard to these mandatory pre-requisites and does not meet the threshold required for the grant of leave to defend.

7. The appellants have not denied that they were directors at the relevant time when the finances were extended to the borrower/company. The leave application also does not deny the sanctioning of the financial facilities or

the disbursement thereof to the borrower/company. The appellants have further not denied that the title documents of the subject property/properties were, and continue to remain, in the custody of the Bank, and the leave application is conspicuously silent as to the manner in which the same came into the possession of the Bank, which in turn constitutes an equitable mortgage over the said property/properties.

8. Insofar as the contentions of the learned counsel regarding the observations made in the order refusing leave to defend are concerned, suffice it to say that the plea that the appellants had not signed the guarantees remained unsubstantiated on record. The appellants have also not been able to dislodge the presumption arising from the admitted custody of the title documents with the Bank, which constitutes an equitable mortgage, and, therefore, no exception can be taken to the concurrent findings recorded by the Courts below. In fact, the arguments advanced at the stage of leave to defend were not only inconsistent with the stance taken earlier in the joint application but also contrary to the subsequent position adopted during the proceedings, when reliance was placed upon the application filed by a co-guarantor seeking permission to avail a benefit under a circular issued by the State Bank of Pakistan. Such conduct clearly amounts to an admission that the finance facilities were availed by the company, of which the appellants were directors, and that the property stood mortgaged with the Bank/respondent No.1. The appellants, therefore, cannot be permitted to approbate and reprobate simultaneously, nor can they be allowed to take inconsistent positions at different stages of the proceedings.

9. Learned counsel has pressed this appeal only on behalf of appellant No.1 and not on behalf of the remaining appellants, as is evident from the

order granting leave. Thus, the record reflects that the finances were availed by respondent No.2/company, and the appellants, along with respondent No.3, being its directors, not only executed the personal guarantees but also created an equitable mortgage over the immovable property by depositing the title documents with the Bank/respondent No.1.

10. Indeed, at the time of filing an application for leave to defend, only a substantial question of law or fact could entitle the defendants to contest the suit, which is conspicuously absent in the present case, as no specific question of law or fact was found either by the learned Banking Court or by the High Court in appellate jurisdiction. In the presence of an equitable mortgage, the argument that the appellants had not signed the guarantees loses its significance. The appellant has otherwise failed to establish his alleged absence from Pakistan through any tangible or cogent evidence. Further, non-fulfilment of the mandatory requirements of section 10(4) of the Ordinance entails legal consequences, as in the absence of such disclosure, leave to defend cannot be granted under the law.

11. Under the circumstances, we are of the considered view that the findings and conclusions drawn by the learned High Court are unexceptionable and in accordance with law and do not call for interference by this Court. Consequently, this appeal is dismissed.

Judge

Judge

Judge

Islamabad:
12.05.2026
Approved for Reporting
[M. Asif Bhatti/Simra Sohail, LC]